MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS)

B.Com - THIRD SEMESTER EXAMINATION-MODEL QUESTION PAPER

(2024 ADMISION ONWARDS)

MG3DSECOM203 – FINANCIAL SERVICES

Duration: 1 hour 15 minutes Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A- Multiple Choice Questions

Answer any 20 Questions- Each question carries 1 mark

1. Which of the following best explains the meaning of Financial Services? [U,CO1]

a) Services related only to government tax collection

b) Services provided by financial institutions to facilitate borrowing, lending, investment, and risk management

c) Services that deal only with physical goods and commodities

d) Services limited to manufacturing and production activities

.

2. Which of the following is considered a fund-based service? [U,CO1]

a) Merchant banking c) Credit rating

b) Leasing d) Stock broking

3. Why are factors such as financial performance, debt levels, and repayment capacity primarily considered in credit rating? [U,CO1]

a) Because they indicate a company's ability to meet its financial obligations

b) Because they reflect consumer behaviour and market trends

c) Because they depend on the number of employees and office size

d) Because they are influenced mainly by political affiliations

4. Under the SARFAESI Act, 2002, what power is given to banks and financial institutions when a borrower defaults on repayment? [U,CO1]

a) To directly take possession of secured assets of the borrower

b) To file a criminal case against the borrower

c) To increase the interest rate on the loan

d) To appoint new management for the borrower's company

5. What is the role of the AIBI? [U,CO2]

a) To regulate the insurance sector.

b) To act as an association for investment bankers in India.

c) To manage foreign direct investment.

d) To control the stock market.

6. Banks and financial institutions rely on which type of credit rating to evaluate the level of risk in their operations? [U,CO1]

a) Structured finance rating **b) Financial institution rating**

c) Sovereign rating d) Commodity rating

7. What is the difference between a lease and a hire purchase? [U,CO4]
   a) Hire purchase transfers ownership to the hirer at the end of the term.
   b) Leasing is a form of short-term rental, while hire purchase is a long-term loan.
   c) Lease payments are considered principal payments, while hire purchase payments are interest payments.
   d) There is no significant difference between the two.
8. SEBI regulates: [U,CO1]
   a) Merchant Banking b) Venture Capital Funds
   c) Stock Exchanges **d) All of the above**

9. The main objective of merchant banking is: [U,CO2]
   a) Providing loans **b) Managing issues of securities**
   c) Dematerialisation of shares d) Custodial services

10. Which of the following is not a type of venture capital financing? [U,CO3]
    a) Seed Capital b) Expansion Financing
    c) Management Buyout **d) Overdraft Financing**

11. The process of converting illiquid assets into tradable securities is known as: [An,CO4]
    a) Factoring **b) Securitisation**
    c) Leasing d) Forfaiting

.

12. What is the main purpose of enacting the SARFAESI Act, 2002? [U,CO1]
    a) To regulate foreign direct investment in India
    b) To empower banks to recover non-performing assets without court intervention
    c) To monitor stock market transactions
    d) To control inflation through monetary policy

13. Which of the following best explains the role of venture capital in business growth? [U,CO3]
    a)Providing short-term loans to cover working capital needs
    b) Offering long-term equity funding and mentoring support to start-ups with high growth potential
    c) Regulating financial markets to ensure investor protection
    d) Financing only government-owned enterprises

14. Stockbrokers act as: [E,CO5]
    a) Intermediaries between investors and exchanges
    b) Custodians of securities
    c) Credit rating agencies
    d) Merchant bankers

15. Which of the following agencies is a credit rating agency in India? [U,CO1]
    a) RBI b) SEBI **c) CRISIL** d) EPFO

16. Which rating symbol represents the highest credit quality? [U,CO1]
    a) AAA b) BBB c) BB d) C

17. A lower credit rating indicates: [U,CO1]
    a) High risk of default b) Better liquidity position
    c) Higher profitability d) Strong management team

18. Credit Ratings are used by: [U,CO1]
    a) Only Banks

b) Only Government bodies
c) Investors, banks, insurers & financial markets
d) Only stock exchanges

19. Which type of debt is most likely rated under long term credit rating [E,CO5]
a) Treasury bills **b) Corporate bonds**
c) Working capital loans d) Trade receivables

20. Which of the following is not a stage of venture capital financing? [U,CO3]
a) Seed stage b) Early-stage **c) IPO stage** d) Exit stage

21. Services that are provided to support business operations, such as advertising, logistics, and IT, are called: [U,CO1]
a) Personal Services **b) Business Services**
c) Social Services d) Core Services

22. Which of the following statements best explains a factor that investors must critically evaluate before making an investment decision? [U,CO3]

a) Risk and expected return, since investors aim to maximize returns while minimizing potential losses

b) Tax benefits, even if the investment does not align with the investor's overall financial goals
c) Liquidity of investment, without considering the time horizon or market volatility
d) Personal preferences such as favourite colours or hobbies

(1 x 20 = 20)

Part B

Answer any 25 Questions

Each question carries 2 marks

23. Indicate which of the following statements about venture capital exit strategies are not true: [U,CO3]
a) An initial public offering (IPO) allows venture capitalists to sell their stake in a start-up to the public.
b) A trade sale involves selling the start-up to another company, often a competitor or strategic investor.
c)Venture capitalists usually do not consider mergers and acquisitions as an exit option.
d) Management buyouts provide an opportunity for the existing management team to acquire the venture and provide an exit for investors.

24. Dematerialisation refers to: [U,CO1]
a) Converting shares into electronic form b) Issuing physical certificates
c) Credit rating of bonds d) Selling shares in stock exchange

25. Which of the following is not a role of merchant banking [U,CO1]
a) Portfolio management b) Underwriting of issue
c) Loan Syndication **d) Depository Services**

26. Consider the following statements and identify which statements are true: [U,CO1]

Statement I: An initial public offering (IPO) allows venture capitalists to sell their stake in a start-up to the public.

Statement II: Venture capitalists usually do not consider mergers and acquisitions as an exit option.

a) Only Statement I is true
b) Only Statement II is true
c) Both Statements are true
d) Both Statements are false

27. In India, the two main depositories are: [E,CO5]
a) NSDL & CDSL b) NSE & BSE

c) SEBI & RBI d) NSDL & SEBI

28. Match the following financial service with their features [U,CO1]

a)	Forfaiting	i.Financing of receivables without recourse
b)	Factoring	ii. Long-term financing for start-ups
c)	Venture Capital	iii. Financing of export bills in foreign trade
d)	Leasing	iv. Asset-based financing with rental payments

a) a-iii, b-i, c-ii, d-iv
b) a-i, b-iii,c-ii, d-iv
c) a-iv,b-ii, c-iii, d-i
d) a-iii, b-iv, c-i, d-ii

29. Which of the following statements about the functions of a factor is not correct? [An,CO4]
Statement I: A factor provides financing against receivables.
Statement II: A factor collects debts from customers on behalf of the client.
Statement III: A factor manages initial public offerings (IPOs).
Statement IV: A factor maintains the sales ledger for its clients.

a) All Statements are correct b) Only Statement I
c) Only Statement III d) Statement III and Statement IV

30. Which of the following is considered the most important factor that credit rating agencies evaluate when determining a company's credit rating? [U,CO1]
a) Financial performance b) Office location
c) Brand popularity d) Number of employees

31. After collecting and analysing financial and operational data of a company, what is the appropriate next step in the credit rating process? [U,CO1]
a) Setting up of business environment **b) Assessing a rating based on findings**
c) Expanding the business without planning d) Increasing advertising spend

32. Which regulatory body oversees stock broking in India [U,CO1]
a) RBI **b) SEBI** c) IRDAI d) TRAI

33. Match the steps in the credit rating process (Column A) with their correct description (Column B): [An, CO5]

Column A	Column B
i). Direct Lease	(a). Asset sold but leased again by the seller
ii). Cross-Border Lease	(b). Lease agreement between parties in different countries
iii). Sale and Leaseback	(c). Lessor purchases the asset directly from the manufacturer and leases it

Column A	Column B
iv). Hire Purchase	(d). Ownership passes to the lessee after final payment

a) i)-(a),ii)-(b),iii)-(c),iv)-(d) b) i)-(d),ii)-(b),iii)-(c),iv)-(a)

c) i)-(c),ii)-(b),iii)-(a),iv)-(d) d) i)-(a),ii)-(c),iii)-(b),iv)-(d)

34. Assertion (A) :A high credit rating guarantees that the investment is risk free [E,CO5]
Reason (R): Ratings are based on past financial data and cannot always predict future uncertainties
    a) Both A and R are true and R is the correct explanation of A
    b) Both A and R are true, but R is not the correct explanation of A
    c) A is true, but R is false
    d) A is false, but R is true

Which of the following statements are correct regarding credit rating? [U,CO1]

Statement I: Credit rating guarantees the return on investment.
Statement II: Credit rating provides an independent risk assessment to investors.

a) Only Statement I is true
b) Only Statement II is true
c) Both Statement 1 and Statement 2 are true
d) Neither Statement 1 nor Statement 2 is true

36. Assertion (A): Liquidity is an important factor in credit rating. [E,CO5]
Reason (R): It measures borrower's ability to quickly convert asset into cash to meet short term obligations.
    a) Both A and R are true and R is the correct explanation of A
    b) Both A and R are true, but R is not the correct explanation of A
    c) A is true, but R is false
    d) A is false, but R is true

37. Which of the following best defines Credit Rating? [E,CO5]
    a) The process of valuing shares in the stock market
    b) An independent assessment of a borrower's ability to repay debt obligations
    c) A guarantee of returns to investors
    d) The calculation of annual profits of a company

38. A key financial factor evaluated during credit rating: [E,CO5]
a)Cash flow adequacy b) Branding strategy
c) Marketing slogans d) Social media presence

39. Which of the following is the correct order of steps in securitisation [An,CO4]
    a) Pooling- Credit Rating – Issue of securities
    b) Issue of securities- Pooling – Credit Rating
    c) Credit Rating – Pooling – Issue of Securities
    d) Pooling – Issue of securities- Credit Rating

40. Which type of rating is given to governments or countries? [E,CO5]
    a) Project rating b) Corporate rating
    c) Sovereign rating d) Structured Finance rating

41. Match the following types of leases with their characteristics [An,CO4]

Type of Lease	Characteristic
a. Direct Lease	ii. Lessor purchases the asset directly from manufacturer and leases it
b. Cross-Border Lease	i. Lease agreement between parties in different countries
c. Sale and Lease Back	iii. Asset sold but leased again by seller
d. Hire Purchase	iv. Ownership passes after final payment

a) a-ii, b-i, c-iii, d-iv
b) a-i, b-ii, c-i, d-iv
c) a-ii, b-iii, c-i, d-iv
d) a-iii, b-iv, c-ii, d-i

42. Which of the following pairs is incorrectly matched? [An,CO4]
a) NSDL- First Depository in India
b) CRISIL – Credit Rating Agency
c) AIBI- Association of Investment Bankers of India
d) SEBI- Established in 1947

43. Which of the following statements are true regarding financial lease : [U,CO1]
Statement I: A financial lease is generally a non-cancellable long-term lease agreement.
Statement II: In a financial lease, the risks and rewards of ownership are transferred to the lessee.
Statement III: A financial lease is usually cancellable at any time without penalty
Statement IV: A financial lease does not involve any long-term financial commitment from the lessee.
a) Statement I Only
b) Statement I and Statement II Only
c) Statement I ,Statement II and Statement III Only
d) All of the Statements given

44. Match the following regarding forfaiting [U,CO1]

Column A	**Column B**
i) Forfaiting is mainly used in	(a) Export financing of international trade
ii) Exporter sells receivables to forfaiter	(b) Provides immediate cash flow to exporter
iii) Risk borne by	(c) Forfaiter
iv) Payment nature	(d) Medium to long-term credit

a) i–(a), ii–(b), iii–(c), iv–(d)
b) i–(b), ii–(a), iii–(d), iv–(c)
c) i–(c), ii–(d), iii–(a), iv–(b)
d) i–(d), ii–(c), iii–(b), iv–(a)

45. In forfaiting, the exporter sells medium to long-term receivables to a forfaiter at a discount, without recourse. Which of the following instruments are typically discounted in such transactions? [An,CO4]

a) Government Treasury Bills, since they represent sovereign short-term borrowing

b) Promissory Notes or Bills of Exchange, evidencing trade receivables in cross-border transactions
c) Commercial Papers, as they are short-term unsecured money market instruments
d) Equity Shares, because they represent ownership and potential dividends

46. A leasing arrangement in which the lessee assumes substantially all the risks (such as obsolescence, maintenance, and default) and rewards (such as use of asset benefits) of ownership, even though the legal title may not transfer immediately, is referred to as: [U,CO1]

a) Operating Lease - where the lessor retains significant risks and rewards
b) Financial Lease - where the lessee bears most risks and enjoys ownership-like benefits
c) Sale and Leaseback - where the seller becomes the lessee after selling the asset to the lessor
d) Hire Purchase - where ownership transfers only after the last installment payment

47. In an operating lease, the asset is not transferred for the entire economic life, and ownership risks largely remain with the lessor. Considering this, the responsibility for maintenance and repairs is usually borne by: [An,CO4]

a) Lessee **b) Lessor** c) Both equally d) outsourced agencies only

48. Which of the following is true about factoring but not about a bill of exchange? [U,CO1]

a) Provide immediate cash against receivables
b) Is a negotiable instrument under the Negotiable Instrument Act
c) Create a legal obligation to pay at maturity
d) Always requires acceptance by the drawee

49. In factoring, the entity mainly handles securities transactions on behalf of investors is called: [U,CO1]

a) Depository Participant
b) Trustee
c) Factor
d) Custodian

(2 x 25 = 50)